

PKDC, LLC,	)	
	)	
Complainant	)	
	)	
v.	)	DOCKET NO. 24-21
	)	
CMA CGM S.A.,	)	
	)	
Respondent	)	
	)	

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Respondent CMA CGM S.A. (“CMA CGM”), through counsel, hereby replies to Complainant PKDC LLC’s (“PKDC”) opposition (“Opposition”) to Respondent’s Partial Motion to Dismiss (“Motion”) the complaint in this proceeding (“Complaint”).

CMA CGM moved to dismiss four of the five counts of the Complaint. The grounds on which CMA CGM moved for dismissal can be divided into two categories: (i) failure to state a claim for which relief can be granted, which is the basis for seeking dismissal of the alleged violations of Sections 41104(a)(9), 41104(a)(10), 41104(a)(2), and 41102(c); and (ii) lack of jurisdiction, which is a second basis for seeking dismissal of the claims under Section 41102(c).¹

¹ The Motion seeks dismissal of the Section 41102(c) claims relating to CMA CGM's alleged failure to fulfill its service commitment under the service contract between the parties. The Section 41102(c) claims relating to demurrage/detention are not addressed by the Motion.

argument is flawed in two ways. First, the Commission's jurisdiction over alleged Shipping Act violations is undisputed and has nothing whatsoever to do with whether the Complaint's allegations are sufficient to withstand the Motion. Second, the decisions relied upon by PKDC fail for the same reason as the Complaint: when properly analyzed, breach of contract claims couched in Shipping Act language are insufficient to support Commission jurisdiction.

The foregoing flaws in PKDC's Opposition, and others, are set forth in greater detail below.

II. ARGUMENT

A. PKDC's Section 41102(c) Claim With Respect To A Failure To Provide Space And/Or To Apply Service Contract Rates Should Be Dismissed

PKDC's Section 41102(c) claims should be dismissed because the Commission lacks jurisdiction and because PKDC fails to state a claim.

1. The Commission Lacks Jurisdiction

There is no dispute that the Commission has jurisdiction over alleged Shipping Act violations. There is also no dispute that the Commission lacks jurisdiction over claims for breach of contract. 46 U.S.C. §40502(f). Because PKDC's Section 41102(c) claim with respect to CMA CGM's alleged failure to fulfill the service contract is the latter rather than the former, this portion of the Complaint should be dismissed.

In its Opposition, PKDC neatly distills its grievance as: CMA CGM didn't give us the space we were supposed to get; didn't give us the space we were supposed to get at the rates that were supposed to apply; and didn't give us the space we were supposed to get because they sold it to someone else for more money. Opposition at 3. In short, PKDC alleges only that CMA CGM failed to provide the space to which PKDC claims it was entitled under the service contract at the terms set forth therein. If PKDC's claim is not a garden variety breach of contract claim,

then CMA CGM respectfully submits that there is no claim relating to or arising out of a service contract over which the Commission would not have jurisdiction. This result renders Section 40502(f) a nullity, contrary applicable principles of statutory interpretation.²

In *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635 (2000), the Commission attempted to distinguish between breach of contract claims over which it lacks jurisdiction and Shipping Act claims over which it has jurisdiction, writing:

We believe the more appropriate test is whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

28 S.R.R. at 1645 (internal footnotes omitted). PKDC's Opposition admits that its allegations essential comprise contract law claims, i.e., that PKDC signed a contract under which it was to receive space at certain rates and that it did not receive that space at all or did not receive the space at the terms set forth in the contract. The Presiding Officer should look beyond the Shipping Act verbiage of the Complaint to examine the true nature of the claim. *Western Overseas Trade and Development Corp. v. Asia North America Eastbound Rate Agreement*, 1994 WL 67702 * 13 (FMC 1994)(stripped of Shipping Act verbiage, complainants' allegation is nothing more than common law defense to breach of contract action). When one does this, it is clear PKDC alleges a breach of contract claim that has no elements peculiar to the Shipping Act.

² Agencies should interpret a statute to give effect to all provisions thereof so that none are rendered inoperative, superfluous, void or insignificant. *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1220 (FMC 1990); *National Association of Recycling Industries, Inc. v. ICC*, 660 F.2d 795, 799 (D.C. Cir. 1981); *In re Surface Mining Regulation Litigation*, 627 F.2d 1346, 1362 (D.C. Cir. 1980).

The decisions on which PKDC relies to argue that Section 41102(c) applies to the insufficient provision of space under a service contract³ are flawed in two important respects. First, none of the decisions goes beyond the language of the complaint to assess the true nature of the claim – each decision accepted the allegations of the complainant at face value to determine that the conduct at issue had some element(s) peculiar to the Shipping Act. These decisions are not only inconsistent with *Western Overseas* but each one made the critical error of treating the purported reason behind the alleged conduct as being conduct in and of itself. An ocean carrier’s failure to provide space that it is contractually obligated to provide is a breach of that contract. The reason that the carrier did not provide the space is not conduct separate and distinct from the breach and, whatever the reason may be, does not make the breach of contract a Shipping Act issue. By mistakenly treating the motive for conduct as separate conduct, the Commission’s administrative law judges have inadvertently allowed complainants to expand the Commission’s jurisdiction beyond its statutory limits and thereby rendered Section 40502(f) a nullity.

The Presiding Officer should find that PKDC’s claim is a breach of contract claim, not a Shipping Act claim, and dismiss it for lack of jurisdiction.

2. Section 41102(c) Does Not Apply To Transportation, Including Space Allocation

The second flaw in the cited decisions is that they improperly apply Section 41102(c) to the transportation of cargo. The Motion explains the limits that have been placed on the scope of Section 41102(c) by the statutory language and past Commission decisions. PKDC’s response to

³ *MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd. and MSC Mediterranean Shipping Company SA*, 2022 WL 458659 (ALJ February 4, 2022)(“MCS”); *MSRF, Inc. v. HMM Co. Ltd.*, 7 F.M.C.2d 85 (ALJ November 22, 2023)(“MSRF”); *20230930-DK-Butterfly-1, Inc. F/K/A Bed Bath & Beyond Inc. v. Evergreen Line Joint Service Agreement, et al.*, FMC Docket No. 2412 (ALJ June 26, 2024)(“Evergreen”). The initial decision in *Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Limited* is not operative because exceptions to that decision have been filed with the Commission.

this argument is that the decisions cited by CMA CGM are old and that the decisions upon which it relies (cited in footnote #3 above) support the opposite conclusion.

The fact that Commission decisions interpreting the scope of Section 41102(c) are not recent is nothing more than an indication that the scope of this Section has been settled for quite some time. Moreover, the decisions cited by PKDC do not support PKDC's position because, in two of those cases, *MCS* and *Evergreen*, the argument concerning the non-application of Section 41102(c) to the transportation of property was not made by the parties or considered by the administrative law judge. The only case in which that issue was considered was *MSRF*, and it appears that the decision misinterpreted and/or misapplied the three decisions upon which it relied in concluding that Section 41102(c) applies to the transport of property.

The first case on which the *MSRF* decision relies is *Cargo One*. In *Cargo One*, the Commission discussed the interaction between Section 8(c) of the Shipping Act (now Section 40502(f)) and the prohibited acts then found in Section 10 of the Shipping Act (one of which is now Section 41102(c)). The discussion related to the interplay between the prohibited acts generally and what is now Section 40502(f). Nothing in the Commission's *Cargo One* decision specifically addressed the issue of whether Section 41102(c) covers the transportation of cargo. The discussion in *Cargo One* merely stands for the proposition that Section 40502(f) does not completely preclude the application of all Shipping Act prohibitions to transport under service contracts. Nothing in *Cargo One* states that Section 41102(c) applies to the transportation of cargo, including space allocation.

The *MSRF* decision also cites *United States v. American Union Transport*, 327 U.S. 437, 442, 449 (1946) for the proposition that space allocation is within the ambit of "receiving, handling, storing or delivering property." Reliance upon *American Union Transport* as a basis

for defining the scope of Section 41102(c) is misplaced as that decision does not address the scope of Section 41102(c) or its predecessors at all. The issue in *American Union Transport* was whether the Commission had jurisdiction over freight forwarders. The Court, in describing the business activities of freight forwarders, noted that forwarders arrange for space with steamship companies. 327 U.S. at 442. This factual observation is not part of any legal holding. Several pages later, the Court noted that, by the nature of their business, freight forwarders are intimately connected with receiving, handling, storing or delivering property. 327 U.S. at 449. *MSRF* attempts to combine these two unrelated statements in an effort to support the proposition that Section 41102(c) applies to the transportation of cargo. However, *American Union Transport* does not address the scope of Section 41102(c). It merely observes that one of the things that forwarders do is arrange for space and separately observes that the forwarding business is connected with receiving, handling, storing or delivering property. It does not expressly state or even imply that Section 41102(c) applies transportation of property.

Finally, *MSRF* cites to *J.M. Altieri v. The Puerto Rico Ports Authority*, 7 F.M.C. 416 (I.D. 1968) for the proposition that Section 41102(c) applies to “shipping practices” and that space allocation is more appropriately considered a shipping practice than a generalized practice. As with the two decisions cited above, *MSRF* stretches *Altieri* beyond the breaking point. *Altieri* involved an allegation that a carrier’s refusal to refund an alleged demurrage overcharge was a violation of the Shipping Act. In deciding the case, the Hearing Examiner noted that Section 17 (the predecessor of Section 41102(c)) applies to shipping practices rather than other categories of unreasonable practices (such as storing bricks in a negligent manner). So, it would be correct to say that as between shipping and storing bricks, space allocation is more related to shipping. However, nothing in *Altieri* supports the conclusion that Section 41102(c) applies to

anything and everything related to shipping. Indeed, *Aliteri* points out that claims for loss of or damage to cargo are not covered by Section 41102(c). Loss of or damage to cargo is obviously more related to shipping practices than to a general practice (such as storing bricks). However, the point is that just because something is related to shipping does make it subject to Section 41102(c).

3. Applying Section 41102(c) To Space Allocation Is Problematic

Applying Section 41102(c) to transportation, including space allocation, makes no sense from the perspective of statutory interpretation.

The Shipping Act contains numerous provisions that prohibit specific conduct with respect to the transportation of property, including the allocation of space. These include 41102(d)(refusing cargo space accommodations), 41104(a)(3)(refusing cargo space accommodations), 41104(a)(4)(c) unreasonably discriminating with respect to cargo space accommodations for tariff shipments), and 41104(a)(10)(unreasonably refusing to deal). If Section 41102(c) applies to the allocation of space, then all of the foregoing prohibited acts are superfluous, since they enumerate specific unreasonable practices with respect to space allocation. Congress would not have adopted prohibitions against specific space allocation practices if those practices were prohibited by Section 41102(c).

The Presiding Officer should abide by the plain language of Section 41102(c) and the manner in which it has traditionally been applied by the Commission and find that it 1) does not apply to the transportation of cargo (including space allocation) and 2) that PKDC has therefore failed to state a claim under this statutory provision.

B. PKDC Fails To State A Claim Under Section 41104(a)(10)

Because CMA CGM did not shut out PKDC, PKDC has failed to state a claim under the version of Section 41104(a)(10) in effect prior to June 16, 2022, which is applicable in this

proceeding. That statute made it unlawful for a common carrier to unreasonably refuse to deal or negotiate.

PKDC argues that the failure of CMA CGM to provide all of the vessel space for which the parties contracted constitutes an unreasonable refusal to deal and cites to decisions by administrative law judges in *MCS* and *Evergreen* denying motions to dismiss on similar grounds. In each of those other cases, the administrative law judges found that allegations of refusals to accept bookings and provide contracted space constituted allegations of an unreasonable refusal to deal sufficient to withstand a motion to dismiss. However, there are problems with the *MCS* and *Evergreen* decisions as they relate to an unreasonable refusal to deal.

In both cases, it is not clear that the administrative law judge considered the Commission's existing standard for what constitutes an unreasonable refusal to deal:

The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the OSRA. All that is required is that common carriers . . . refrain from 'shutting out' any person for reasons having no relation to legitimate transportation-related factors.

New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans, 29 S.R.R. 345, 351 (ALJ 2001), aff'd 29 S.R.R. 1066 (FMC 2002), aff'd *New Orleans Stevedoring Company v. Federal Maritime Commission*, 30 S.R.R. 1066 (D.C. Cir. 2002)(emphasis added).

The *MCS* and *Evergreen* decisions cite only to *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 FMC LEXIS 216 at *12-13 (FMC Oct. 29, 2020). However, *MAVL Capital* dismissed the unreasonable refusal to deal claim as abandoned and laid out the elements of an unreasonable refusal to deal claim in only the most general manner, which is what is cited in *MCS* and *Evergreen*. There is no analysis in these other decisions of the what substantively constitutes a refusal to deal. CMA CGM believes that a more meaningful

substantive analysis using the *New Orleans Stevedoring* standard set forth above is required.⁴

Said analysis should result in the dismissal of this claim.

The other difficulty with the interpretation of an unreasonable refusal to deal in *MCS* and *Evergreen* is that, if adopted, it creates the same tension between Sections 41104(a)(10) and 40502(f) that exist between Sections 41102(c) and 40502(f). In short, if not providing all of the space committed under a service contract can constitute an unreasonable refusal to deal, what is the difference between a failure to provide space that constitutes a breach of contract over which the Commission lacks jurisdiction and a failure to provide space that constitutes an unreasonable refusal to deal?

The Presiding Officer should adhere to the existing understanding of what constitutes an unreasonable refusal to deal and dismiss PKDC's Section 41104(a)(10) claim.⁵

C. PKDC Fails To State A Claim Under Section 41104(a)(2)

In its Motion, CMA CGM argued that the Complaint did not adequately plead a claim for relief under Section 41104(a)(2) in that it failed to identify a single container that was transported at rates other than those in the service contract or a single charge assessed against PKDC that was not set forth in the service contract or CMA CGM's tariff. PKDC's reply is two-fold: it was coerced into agreeing to amend the service contract to include the Peak Season Surcharge ("PSS") and the SeaPriority Go ("SPGO") fee was not included in the service

⁴ It is far from clear that the Commission's statement regarding imposition by a common carrier of an unreasonable impediment to a shipper's access to common carriage in a supplemental notice of proposed rulemaking (*Definition of Unreasonable Refusal to Deal or Negotiate With Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier*, 88 Fed. Reg. 38789, 38791 (June 14, 2023)) is intended to modify *New Orleans Stevedoring*. In any event, the Commission has not yet issued a final rule further defining an unreasonable refusal to deal, so *New Orleans Stevedoring* remains controlling.

⁵ Applying Section 41104(a)(10) as broadly as PKDC urges presents another issue. The Commission has held that when demand for space exceeds supply, a carrier must pro rate its space among its customers. *Banana Distributors, Inc. v. Grace Line Inc.*, 5 F.M.B. 615, 625 (FMB 1959)(internal citations omitted). If carrier pro rating space results in a systematic denial of space to customers, is the carrier exposed to a claim that it has refused to deal?

contract.⁶ As PKDC admits, the purpose of this statutory provision is to require carriers to abide by the terms of their published tariffs and service contracts. Opposition at 11. CMA CGM maintains that it did so and that the PKDC has failed to adequately plead allegations to the contrary.

Insofar as the PSS is concerned, PKDC admits the charge was reflected in the service contract. Therefore, it has failed to allege a violation of Section 41104(a)(2) with respect to the PSS, since CMA CGM was adhering to the terms of the service contract in assessing that charge. PKDC's allegations of coercion, even if true, do not state a claim for relief under Section 41104(a)(2) because this statutory provision is concerned only with adherence to the published/filed rate.⁷

With respect to the SPGO, PKDC incorrectly asserts it was not applicable to contract shipments. Opposition at 13-14. The Presiding Officer may take notice of CMA CGM Service Contract 21-2947 between the parties, which is on file with the Commission. 46 C.F.R. §502.226. Term 7.A of that contract subjects all shipments thereunder to the rules, terms, conditions, charges, and surcharges set forth in the carrier's tariff. The Presiding Officer can also take notice of CMA CGM's Tariff CMDU 100, Rule 102, Subrule X, which sets forth the SPGO. In light of the provisions of the service contract and CMA CGM's tariff, application of the SPGO was lawful under Section 41102(a)(2), and PKDC has failed to state a claim under that statutory provision. Accordingly, PKDC's Section 41104(a)(2) claim should be dismissed.

⁶ PKDC's reliance on the now-overturned *TCW v. Evergreen* decision with respect to coercion is misplaced, as that case did not involve §41104(a)(2).

⁷ What is now Section 41104(a)(2) establishes a strict adherence standard, under which a violation of law occurs any time a rate other than the published/filed rate is charged. *Sea-Land Service, Inc. – Possible Violations of Sections 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984*, Docket No. 98-06 (FMC Feb. 8, 2006) at 35-36.

D. PKDC Fails To State A Claim Under Section 41104(a)(9)

In the Motion, CMA CGM maintains that PKDC failed to state a claim under Section 41104(a)(9) of the Act because it did not allege that the conduct in question was directed at a port. In support of its position, CMA CGM cited both the legislative history of Section 41104(a)(9) and *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co, KG and Hamburg Sud North America, Inc*, FMC Docket No. 21-11, Order on Respondents' Motions to Partially Dismiss and for a Protective Order and Complainant's Motion for Expedited Relief at 6 (ALJ August 31, 2022), administratively final October 6, 2022 (dismissing 41104(a)(9) due to lack of allegation that conduct was directed at a port). Motion at 3-4.

PKDC argues that *MCS* applies rather than *OJ Commerce* because the Section 41104(a)(9) issue in *MCS* was resolved prior to discovery being conducted, where in *OJ Commerce* the issue was decided after at least some discovery had taken place. Opposition at 17. However, the dismissal of the Section 41104(a)(9) claim in *OJ Commerce* was based on the plain language of the statute, without any reliance whatsoever on any facts that may or may not have been uncovered by discovery. *OJ Commerce* at 6. Moreover, both *MCS* and *OJ Commerce* were decided by the same administrative law judge, with *OJ Commerce* being decided more than six months after *MCS*. *OJ Commerce* reflects the later and more complete analysis of the issue and should be followed.

MCS and *OJ Commerce* can be distinguished from one another because the complaint in *MCS* made explicit allegations with respect to the ports identified in the service contracts between the parties. *MCS* at 9. Here, PKDC admits that the Complaint does not reference any specific port or even the ports in the service contract, saying only that "the contract sets forth specific ports." Service contracts customarily identify the ports to/from which cargo transported

thereunder is to move. 46 U.S.C. §40502(c)(1); 46 C.F.R. §530.8(b)(1). Simply referring to the contract generally without actually specifying which of the ports in the contract were allegedly the targets of the offensive conduct does not comply with applicable pleading standards. “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 555 (2007)).

Moreover, PKDC admits that the conduct which is the focus of its Section 41104(a)(9) claim is that CMA CGM allegedly sold space committed to PKDC to other shippers at higher prices. In other words, the alleged conduct was aimed at PKDC, not at any port. Because PKDC has not alleged in the Complaint that CMA CGM’s conduct was directed at any particular port or ports, the Complaint is legally deficient insofar as the Section 41104(a)(9) claim is concerned, and that claim should be dismissed.

III. CONCLUSION

For the foregoing reasons, the claims identified above should be dismissed with prejudice.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Wayne R. Rohde".

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Dated: July 17, 2024

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 17th day of July, 2024, the foregoing Reply was served via electronic mail on:

Jason Kenner, Esq. (jkenner@strtrade.com)

Andrew Margolis, Esq. (amargolis@strtrade.com)

A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is fluid and cursive, with the first name "Wayne" and last name "Rohde" clearly distinguishable.

Wayne R. Rohde